operations aimed at cutting the flow of arms to Nicaragua and other Central American countries.

It was obvious that poverty, social inequities, and abuses of human rights would make Latin American countries ripe for revolution from the left or the right. It would take more than our limited covert operation to hold back the tide: The region's future was wavering between Marxism on the one hand and dictatorial rule by the extreme right on the other. The only long-term solution was economic development of these countries, a better standard of living for their people, democratic rule, and more social justice.

In the past, the United States had spent a lot of money on programs aimed at improving the lot of its Latin neighbors, with little success: Our programs had done very little to stimulate entrepreneurship or broaden economic opportunity for the common people. According to one study by the administration, the U.S. provided more than half the funding for the governments of Central America. But we were seeing scant return where it would have counted most: in economic development.

In early 1982, we launched the Caribbean Basin Initiative. Through tax incentives for investments in the region, direct financial aid, technical assistance, reduced trade restrictions, and other steps, we hoped to help our neighbors south of the border help themselves. At about the same time, through quiet diplomacy, I made overtures to Fidel Castro to encourage him to rejoin the orbit of the western hemisphere. I thought Cuba's deepening economic problems and the lure of U.S. trade might persuade him to come over to our side. But he told my emissary, General Vernon Walters, that he wasn't interested—and he continued bankrolling guerrillas in the region.

I *never* considered sending U.S. troops to fight in Latin America. Realizing that neither our people nor those south of the border would want us to use American forces to repel